rise significantly. In contrast now the efforts of the authorities were directed to using up as much sterling as possible by repatriating India's sterling liabilities through voluntary as well as compulsory schemes.[1]

The addition to India's sterling balances and currency in circulation were due to political factors which were beyond the control of the bank and not much could have been achieved by an active monetary policy, in particular by raising the bank rate. Taylor in his first public utterance after the war broke made it clear in February 1940, that he favoured a stable interest rate regime i.e. neither high rates nor an artificially cheap money policy. In August 1939, the Bank of England increased its bank rate from 2 percent to 4 percent but the RBI did not follow suit. According to Deshmukh, Taylor who was initially in favour of imitating the British move was dissuaded from doing so by Nanavati the Deputy Governor. Taylor who was abroad at the time, telegraphically advised Nanavati to raise the bank rate but the latter did not agree. (We have noted Purshotamdas's opposition to the move in an earlier Chapter.) The hike was only temporary and the bank rate was brought back to 2 percent in October 1939.

During the war years, monetary instruments remained passive and this was especially true of the interest rate. The *History* tells us that by and large the war was financed on a 3 percent basis with the bank rate remaining at this level throughout the war and well beyond it (till November 1951). If monetary policy was dormant, the same could not be said for currency management where the bank encountered many challenges. Metallic currency especially small coins had to be issued in considerable quantity. Economy in the use of scarce metals was achieved by issuing one rupee and two rupee notes and lowering the silver content of the rupee. The fineness of the four anna and eight anna coins was reduced and with a view to achieving economy in the use of nickel, the nickel content of subsidiary coins was reduced by the use of a nickel–brass alloy for two anna, one anna, and half anna coins. The last named was introduced in the hope that this would minimize the use of the pice (quarter anna) which was made of copper. But this expectation was belied for the price of copper kept rising and so did the demand for pice which were melted down. To counter this, a new pice with a circular hole in the middle was issued. This new pice was used as a washer to discredit it and the matter was brought to the notice of Deshmukh who was Deputy Governor. Deshmukh did not think the matter